

Investment Policy Statement

Version: 1.0

Effective Date: June 25th, 2026

Next Review: June 25th, 2027

Project Purpose

The purpose of this project is to develop a practical market risk management framework that applies quantitative techniques learned through the Georgia State QRAM program to real-world portfolio analysis. The framework is designed to simulate the responsibilities of a portfolio or market risk analyst by measuring, monitoring, and communicating portfolio risk over time.

Rather than evaluating a single investment strategy, the project compares three portfolios with distinct investment philosophies: Aggressive Growth, Balanced Growth, and Resilient Growth. This is to examine how portfolio construction influences risk, return, and resilience under both normal and stressed market conditions.

The long-term goal is to develop practical experience in portfolio risk management, strengthen investment decision-making through quantitative analysis, and develop a repeatable framework that can evolve alongside my professional development in quantitative risk analysis.

Investment Philosophy

This framework is guided by a long-term investment philosophy centered on disciplined risk management, diversification, and building resilient portfolios capable of withstanding periods of market stress. The objective is not to eliminate risk, but to understand, measure, and manage it in support of informed investment decisions.

Risk Management Philosophy

Risk is an inherent component of investing and cannot be eliminated. This framework seeks to identify, measure, monitor, and manage risk through quantitative analysis, diversification, stress testing, and periodic portfolio review. Portfolio decisions will consider both return objectives and downside risk to support informed, evidence-based investment decisions. Uncertainty is not something to avoid, but something to understand and prepare for.

Investment Horizon

This investment framework is designed around a long-term investment horizon of 20–30+ years. Investment decisions are intended to support long-term objectives rather than respond to short-term market fluctuations.

Eligible Asset Classes

The framework may invest in publicly traded securities representing the following asset classes:

- U.S. Equities
- International Developed Equities
- Emerging Market Equities
- U.S. Treasury Bonds
- Investment-Grade Bonds
- High-Yield Bonds
- Real Estate Investment Trusts (REITs)
- Gold
- Cash and Cash Equivalents

Additional asset classes may be incorporated in future versions of the framework as the project evolves.

Monitoring & Review

Portfolio risk metrics will be updated and reviewed on a monthly basis using quantitative measures including VaR, Expected Shortfall, volatility, correlation analysis, and stress testing. Portfolio performance and risk characteristics will be documented through monthly risk reports. Portfolio allocations and investment assumptions will be reviewed quarterly to determine whether changes or rebalancing are warranted.

Rebalancing decisions are guided by a 5/25 tolerance-band rule, under which an asset's allowable deviation from its strategic target is the smaller of five percentage points or 25% of that target weight; a breach of this range triggers a formal review rather than an automatic trade.